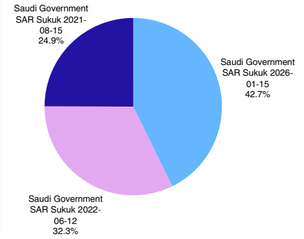
The financial and credit performance of government and private sukuk

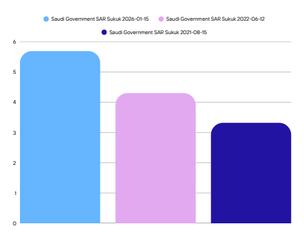
Task 3

STATISTICS

RETURN RATE



CURRENT PRICE (SAR)



SUKUK INFORMATION

Sukuk	The code	Type of return	Return rate	Maturity date	Current price (SAR)
Saudi Government SAR Sukuk 2026-01-15	5379	fixed	5.69%	2041-07-22	102.08
Saudi Government SAR Sukuk 2022-06-12	5326	fixed	4.30%	2034-06-23	94.48
Saudi Government SAR Sukuk 2021-08-15	5313	fixed	3.32%	2036-08-19	98.650

BEST RATE

BEST RETURN RATE

SAUDI GOVERNMENT SAR SUKUK 2026-01-15

BEST CURRENT PRICE (SAR)

SAUDI GOVERNMENT SAR SUKUK 2022-06-12

SUKUK STRUCTURE ANALYSIS

SAUDI GOVERNMENT SAR SUKUK 2026-01-15

IT IS A LONG-TERM SUKUK THAT MATURES IN 2041 AND HAS A COMPARATIVELY HIGH FIXED RETURN OF 5.69%. ZAKAT IS REGARDED AS CAPITAL IN THE SEMI-ANNUAL DISTRIBUTION OF PROFITS.

SAUDI GOVERNMENT SAR SUKUK 2022-06-12

SUKUK THAT ARE MEDIUM-TERM AND HAVE A LOWER FIXED YIELD (4.30%) THAN THE FIRST (THEY MATURE IN 2034). AT 94.48 RIYALS, THEY ARE NOW TRADING BELOW PAR VALUE (AT A DISCOUNT).

SAUDI GOVERNMENT SAR SUKUK 2021-08-15

SUKUK ARE REGARDED AS MEDIUM-TERM ISSUES WITH A FIXED RETURN OF 4.88% THAT MATURE IN 2030. THIS ISSUE IS A STRATEGIC CHOICE FOR INVESTORS LOOKING FOR A MIX BETWEEN HIGHER RETURNS AND A MATURITY CLOSER THAN LONG-TERM ISSUES. THE SUKUK IS NOW TRADING AT A PRICE OF 102.50 RIYALS, WHICH IS ABOVE ITS NOMINAL VALUE AND GIVES IT AN ACTUAL YIELD OF 4.8%.

COMPARISON AND PERFORMANCE EVALUATION

BEST PERFORMER

SAUDI GOVERNMENT SAR SUKUK 2026-01-15 BECAUSE IT IS TRADED ABOVE ITS NOMINAL VALUE OF 102.08 RIYALS, INDICATING ROBUST DEMAND DESPITE ITS LENGTHY MATURITY, IT PERFORMS WELL IN TERMS OF CURRENT YIELD.

RETURN VERSUS PRICE

SAUDI GOVERNMENT SAR SUKUK 2022-06-12 ALTHOUGH ITS PERIODIC YIELD (4.30%) IS SMALLER THAN THAT OF THE MORE RECENT SUKUK, IT OFFERS AN INVESTMENT OPPORTUNITY AT A PRICE BELOW THE NOMINAL VALUE (94.48 RIYALS), WHICH MAY RAISE THE CAPITAL YIELD AFTER MATURITY.

SHARIAH COMPLIANCE

THE MANAGEMENT CAN MAKE SURE THAT THESE SUKUK MEET STRINGENT REQUIREMENTS THAT GO BEYOND SIMPLY COMPARING DEBT TO ASSETS, AS IS DONE IN THE AMANIE NEXUS TECHNIQUE, BY USING THE ISLM TOOL ON BLOOMBERG.

PROPOSED RESULTS FOR THE MANAGER

FOR PORTFOLIOS LOOKING FOR HIGH FIXED RETURNS ABOVE 5.6%, WE ADVISE CONCENTRATING ON THE SAUDI GOVERNMENT SUKUK ISSUANCE (5379) BASED ON BLOOMBERG LEAG AND ISLM TOOLS. SUKUK (5326) PROVIDES GOOD VALUE FOR TRADING BELOW 95 SAR FOR INVESTORS SEEKING A REDUCTION IN THE ACQUISITION PRICE. WE CERTIFY THAT, BASED ON THE IDEALRATINGS FILTERS ON THE PLATFORM, ALL OF THESE DEVICES EXHIBIT COMPLETE COMPLIANCE WITH SHARIA.